# PROJECT ORCHID FUND

**Introductory Letter to Partners**

**9 November 2026**

Dear Partners,

It is with great pleasure and gratitude that I welcome you to Project Orchid Fund. As your investment manager, I am honoured to have the founding partners entrust me with their capital. I do not take this responsibility lightly.

This introductory letter serves to provide an overview of Project Orchid, its investment philosophy, the principles that will guide capital allocation, and what you can expect from me as your investment manager.

## 1. Purpose of the Partnership

I firmly believe that when investors entrust their hard-earned capital to an investment manager, there should be a tangible value-add in return for that trust.

An investment manager should not merely provide exposure to the financial markets. Investors can achieve that themselves through low-cost index funds and other financial instruments. The manager's responsibility is to exercise sound judgement in allocating capital, identifying opportunities that may be overlooked by the broader market, and ultimately delivering satisfactory investment results.

At Project Orchid, our objective is straightforward: to grow our partners' capital through disciplined investment decisions, with particular emphasis on capital preservation and the avoidance of permanent losses.

We are not interested in owning securities simply because they are popular, nor are we obliged to remain fully invested at all times. We would rather wait patiently for opportunities where the relationship between price and intrinsic value is sufficiently attractive.

## 2. Performance and Benchmarking

Our primary benchmark will be the Straits Times Index (STI), preferably measured on a total-return basis to account for dividends.

The STI has historically delivered respectable long-term returns, making it a meaningful hurdle for a Singapore-based investment partnership. Our aspiration is to outperform this benchmark over a full investment cycle.

Nevertheless, performance should not be viewed in isolation. Other alternatives, including money market funds, fixed deposits and other relatively low-risk instruments, represent the opportunity cost of deploying capital into equities.

If the partnership cannot generate satisfactory returns relative to these alternatives over a sufficiently long period, there must be serious consideration as to whether our investment approach is justified.

I believe a minimum period of five years is a reasonable timeframe for evaluating an investment manager's ability. Preferably, this period should encompass different market conditions, including both bull and bear markets.

There will inevitably be periods where our results fall short of the benchmark. I ask that partners evaluate our performance over the long term rather than place undue emphasis on any individual quarter or year.

That being said, patience should never become an excuse for poor performance. I intend to remain accountable for the capital entrusted to me.

# 3. Investment Philosophy and Strategy

Project Orchid is heavily modelled after the original Buffett Partnership Limited, established by Warren Buffett in 1956.

Your manager is an ardent follower of Warren Buffett and Charlie Munger, and subscribes to the school of value investing.

Our approach is fundamentally centred on the relationship between a company's intrinsic value and its prevailing market price.

We seek to purchase businesses at prices meaningfully below our conservative estimates of their intrinsic value. This difference provides what Benjamin Graham described as a *margin of safety*.

However, a low valuation alone does not necessarily constitute an attractive investment. We must understand the underlying business, its financial position, earnings quality, competitive environment and the factors that may influence its future prospects.

Given the limitations of our knowledge and abilities, we will operate strictly within our circle of competence. We would rather pass on an opportunity that we do not understand than invest in a business merely because it appears statistically cheap.

Our investment decisions will therefore be guided by three broad categories.

# 4. Portfolio Allocation

Generally, capital will be allocated across three types of investment opportunities:

**I. General Undervalued Securities — The Cigar Butts**

These are securities that appear statistically inexpensive relative to their underlying assets, earnings or other financial measures.

They are commonly referred to as "cigar butt" investments: businesses that may not possess particularly attractive long-term economics but are available at such depressed valuations that there may still be one final profitable puff left.

Examples may include companies trading below their net asset value, businesses with substantial tangible asset backing, or securities whose earnings power is significantly underestimated by the market.

Although these investments may not necessarily possess enduring competitive advantages, the margin of safety is expected to compensate for their less attractive business characteristics.

Nevertheless, cheapness alone is insufficient. We must still assess the quality of the underlying assets, financial position, management and potential catalysts for value realisation.

**II. Undervalued Businesses with Attractive Economics**

These are businesses that we consider particularly attractive.

Unlike the first category, these companies possess favourable underlying business economics, potentially including sustainable competitive advantages, strong returns on invested capital, attractive cash generation and capable management.

Ideally, we would like to acquire such businesses at prices below our estimates of intrinsic value, thereby combining an attractive business with an attractive purchase price.

Unfortunately, opportunities of this nature are relatively scarce. The market seldom offers excellent businesses at bargain prices.

However, when such opportunities arise, I intend to act decisively, provided our investment thesis remains intact.

As Charlie Munger famously advised, "A great business at a fair price is superior to a fair business at a great price."

We should not allow an unwillingness to pay a reasonable price for quality to prevent us from participating in exceptional opportunities.

**III. Event-Driven and Temporarily Depressed Securities**

The third category consists of businesses whose share prices have been temporarily depressed by identifiable events, industry-wide pessimism or market dislocations.

Our objective is to identify fundamentally sound businesses that have been indiscriminately sold down alongside their peers, despite having relatively resilient financial positions and underlying business economics.

For instance, an entire industry may experience a significant decline in market sentiment due to regulatory concerns, technological disruption or broader economic uncertainty.

In such circumstances, the market may fail to distinguish between businesses whose long-term prospects have genuinely deteriorated and those whose intrinsic values remain largely intact.

We seek to exploit these discrepancies.

An important distinction is that we are not interested in speculating on short-term market movements. Rather, we aim to identify situations where temporary circumstances have created a meaningful disconnect between market price and intrinsic value.

# 5. Capital Allocation and Cash Reserves

One of the most important principles of Project Orchid is that capital will not be deployed merely for the sake of remaining invested.

I am perfectly comfortable holding cash when suitable opportunities are unavailable. There is no obligation to purchase securities simply because capital is sitting idle.

Cash is not necessarily an unproductive asset. It provides flexibility, preserves optionality and allows us to act when attractive opportunities eventually present themselves.

Our priority is not to maximise the number of investments in the portfolio, but to ensure that each investment meets our required standards.

Naturally, I hope to encounter more attractive opportunities than the partnership has available capital to deploy. That would be a very good problem to have.

# 6. Reporting and Communication

Partners will receive investment letters on a semi-annual basis, accompanied by relevant portfolio and performance reports.

These letters will provide updates on:

- Overall partnership performance and comparison against our benchmark.
- Portfolio composition and capital allocation.
- Significant purchases, disposals and changes in investment positions.
- Developments affecting our underlying investments.
- The investment manager's assessment of market conditions and future opportunities.

I believe transparency and accountability are essential to maintaining the trust of our partners.

At the same time, I would prefer to devote the majority of my time to researching businesses, evaluating opportunities and allocating capital rather than producing reports simply for the sake of reporting.

Partners should expect honest communication, particularly when things do not go according to plan.

# 7. A Final Word

Above all, I would like partners to understand that Project Orchid is intended to be a long-term endeavour.

There will be periods of uncertainty, market declines and investments that do not turn out as expected. These are unavoidable aspects of investing.

My responsibility is to approach each decision rationally, remain disciplined during periods of market euphoria and pessimism, and always act in the best interests of the partnership.

I intend to invest my own capital alongside that of our partners. Our interests should therefore remain aligned, and I will approach the allocation of your capital with the same care and consideration as I would my own.

As time progresses, I hope that these letters will allow you to become better acquainted with my investment philosophy, decision-making process and, perhaps most importantly, the way I think about investing.

Thank you once again for your trust.

**Cordially,**

**Reyes Ling**
Investment Manager
Project Orchid Fund